

Article | 3 September 2026

HEALTHCARE

Trump's MFN policy is reshaping global pharma, not prices

The Trump Administration this week announced nine new most-favoured nation (MFN) deals with mid-sized pharma companies. As the MFN model continues to expand, its implications for the industry are becoming increasingly clear: the US is attracting investment and Europe is losing out. The benefits for American patients, however, are far less certain



The recent most-favoured nation deals are not likely to result in lower prices for US patients, but will bring investment into the US

The US consumer is yet to see a significant drop in medicine prices

The nine new agreements expand the MFN framework to 26 manufacturers, which, according to the White House, covers around 89% of the branded drug market. However, this does not materially alter our core view that the direct impact on branded pharmaceutical margins will remain limited.

We have consistently argued that MFN pricing, which links US drug prices to those paid in other developed markets, does not necessarily trigger broad-based price cuts in the US for three

reasons:

- First, price cuts for current drugs only apply to Medicaid, which makes up just 10% of the US market.
- Second, MFN only applies to new launches and manufacturers can partly manage the reference price by delaying or limiting launches in lower-priced markets.
- Third, it is likely that pricing agreements will exclude medicines that are used exclusively for rare diseases.

Given that the US is responsible for roughly 50% of revenues and often around two-thirds of branded pharma profits, companies have an incentive to delay launches in other markets. The incentive to delay a lower-priced European launch will be strongest for medicines whose revenues depend primarily on maintaining a high price, rather than on generating large volumes at a lower price.

The impact of MFN on prices is therefore manageable for the industry. It is no wonder, then, that we have seen many branded pharma companies raise guidance over the past year, signalling that these agreements generally protect profitability.

But the policy will attract manufacturing to the US

While the direct pricing impact of MFN may be limited, the policy is likely to further accelerate the shift of pharmaceutical manufacturing to the United States. Tariffs and pricing pressures are a powerful incentive to localise production because the US market is so profitable. The nine latest signatories committed at least \$19.6bn in US manufacturing investment, bringing total announced industry commitments since tariffs and MFN to nearly \$670bn.

More broadly, both Republicans and Democrats increasingly view pharmaceuticals and biotechnology as strategic industries critical to national security, meaning that policies that strengthen US control of biopharma supply chains will likely be structural rather than just a Trump-era phenomenon.

Europe faces an access issue and lacks a coherent response

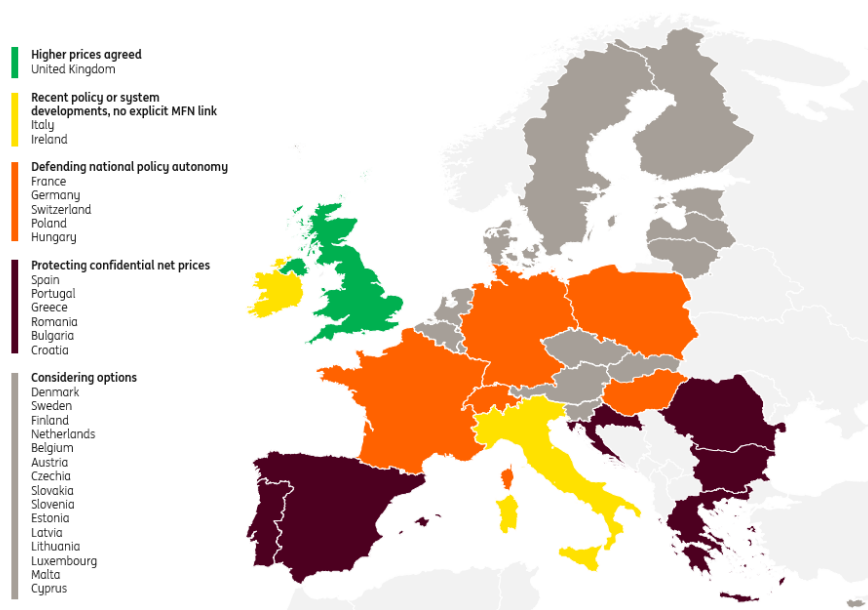
For countries used as pricing benchmarks, MFN means an increasing access challenge. As US prices are elevated, medicine launches in reference countries may be delayed. Through the first four months of 2026, we have seen a decline of 25% in drug applications at the European Medicines Agency compared to the same period last year. Europe, therefore, faces an increasing access issue, which is bad news for European patients.

European policymakers have so far offered a limited and uncoordinated response. Many governments seem to want to ignore the issue, while only the UK has increased its prices for new innovative therapies and Ireland and Italy have recently enacted reforms, though without an explicit link to MFN.

The unwillingness of many European governments to address this issue is understandable given fiscal pressure from increased healthcare and social security spending due to ageing populations and increased defence spending. However, we believe upward price pressure from the American government and the industry will not go away.

Europe's response to MFN has been mostly wait-and-see

EU27 + the UK and Switzerland classified according to their response to MFN



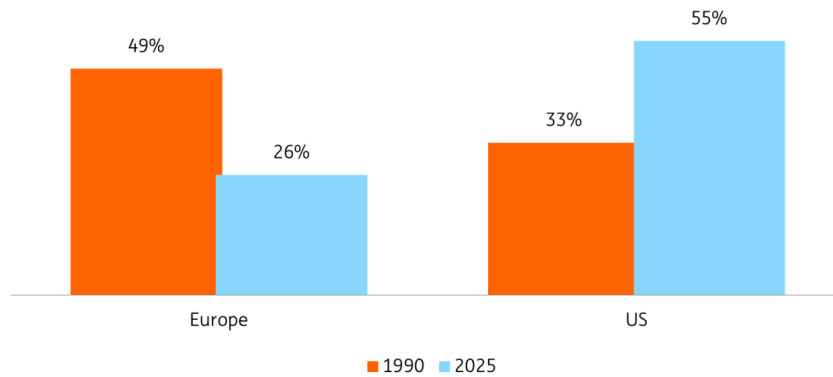
Source: ING

Increasing prices is not enough to fix Europe's competitiveness issue

This means that Europe needs a more coordinated response, not just because of MFN, but also because of the EU's ambition to make Europe [the most attractive place in the world for life sciences](#). In fact, the continent is losing ground to both the US and [China](#): Europe saw its share of global clinical trials decrease from roughly 35% in 2009 to roughly 20% in 2024, and its share of global private R&D has declined significantly since 1990, while the share of the US has more than doubled.

European share of R&D spending has declined rapidly

European and American biopharmaceutical R&D spending as a percentage of global spending in 1990 and 2025



Source: ITIF; ING

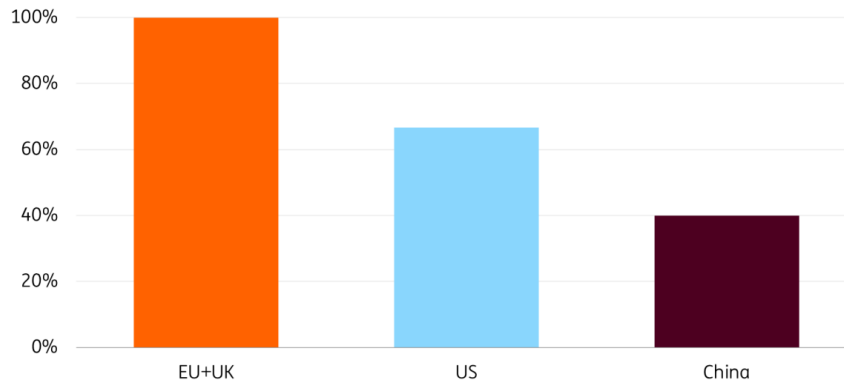
The structural issue at the heart of this decline is not a result of MFN; the policy merely exposes and may intensify longstanding weaknesses in the continent's life-sciences model. In contrast to what many in the industry say, this competitiveness issue is not simply a result of price, but rather of the continent's institutional setup.

Although the EU is technically one market, health policy is still a national policy domain. This means that Europe has a common medicine authority, but still has 27 different Health Technology Assessment (HTA) frameworks, 27 different pricing regimes, and it lacks a common capital market, which means that European biotechs tend to be funded by US venture capital and private equity funds as they mature.

These biotechs then tend to launch in the US because they have to deal with only one regulator and can enter a market of 300 million people and command a higher price, which is why Europe faces a problem commercialising its science. Europe therefore risks losing appeal both as a launch market and as a destination for future pharmaceutical investment, despite the sector's substantial economic contribution.

Europe's scientists are top-notch

Number of citations in top pharma journals as a percentage of 'leader'



Source: ING estimates based on Coface and NIH

The European Commission has correctly identified many of these challenges through initiatives such as the Pharmaceutical Package and the Biotech Act. However, progress at the national level remains lacklustre. As a result, increasing drug prices alone would do little to reverse Europe's declining attractiveness unless accompanied by broader reforms that improve market access, funding, regulatory alignment and the ability to commercialise innovation at scale.

MFN boosts US investment, hurts Europe and offers little relief to drug prices

While the White House presents the latest agreements as a major win for patients and public budgets, the impact on drug spending may be more limited than the headlines imply. MFN savings are likely to be concentrated in specific medicines rather than translating into a broad reduction in pharmaceutical expenditure.

The more significant consequence will be for investment flows: the policy strengthens incentives to locate production and investment in the United States.

As Europe still needs to formulate a coherent response, the region risks becoming a less attractive launch market for innovative medicines and could gradually lose out on future pharmaceutical investment, clinical development activity and manufacturing capacity.

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Article | 11 September 2026

RATES

Rates Spark: The heat ratchets higher

The US back-end remains untethered. Over to the Fed to see if it can tame it. Probably not; see more [here](#). US CPI is up next, and then it's decision time. Meanwhile, the ECB is showing the Fed the way. Energy prices are also reigniting pressure on rates



US CPI for August would have to be stunning to avert the inevitable

Energy prices remain in the driving seat, not the ECB

The day the European Central Bank hiked rates was not so much about the policy decision or what ECB President Christine Lagarde said in the press conference. The hike was a “no-brainer,” in Lagarde’s own words, and was already largely priced in. Lagarde did not offer any concrete guidance around the ECB’s next moves, highlighting that “the outlook remains highly uncertain, with risks to the upside for inflation and to the downside for economic growth.”

Energy prices were the actual driver of the market dynamic – though to be fair, the ECB and US data did not stand in the way of it. As Brent prices pushed further above US\$100/bbl, the EUR front-end had moved in lockstep and started to fully discount three more ECB hikes by mid next year. That implies a depo then landing at 3.25% at least. Pushing pricing beyond that would require scenarios where the ECB either hikes at meetings without new projections, or more than 25bp at meetings where it has new projections.

The by now almost customary ECB sources story later on Thursday brought October into play,

suggesting at the same time that December might still be more appropriate. Of course, the longer view that the market now still broadly contemplates is one where the ECB keeps rates on hold at 3.25% from mid-year, and that landing level might well be questioned next if energy markets do not calm. [Our economists point out](#) that the ECB's new set of projections forecasts inflation above target for too long, and that, based on the assumption of one or two more hikes, leaves a hawkish aftertaste.

Looking even further out the curve, the 10y Bund yield topped the 3.5% mark. The last time it did so was in 2011 on one day. Spreads versus swaps have tightened since then, so if one looks at the 10y swap rate, it has now topped the 3.5% mark for the first time since 2023. But also note that in 2023 the swap rate was above 3.5% only on 8 trading days spread out over roughly a month – and with an ECB depo rate at 4%.

We would argue that pricing does start to look stretched, but with the [US long-end remaining untethered](#) and geopolitical tensions pointing to higher energy prices, it is hard to stand in the way of that dynamic.

Friday's events and market view

All eyes will be on the US CPI release as it should help shape the upcoming Federal Reserve decision. Headline CPI is expected to come in at an unchanged 3.4% year-on-year, and the core rate at 2.4%, slightly lower versus the previous month. The main focus will be the core CPI rate, where consensus is eyeing a 0.2% month-on-month rate. We think anything higher should tip the balance further towards a hike, with energy price dynamics only adding to underlying pressures again. We will also get the University of Michigan consumer sentiment index. It's expected to come in softer, accompanied by short-run inflation expectations nudging higher.

During the European morning we will get UK GDP and industrial production data, but thereafter no other releases of note. The ECB's Lagarde and Chief Economist Philip Lane will speak, but we also expect other commentary in the wake of the ECB meeting.

The countries of note slated for possible rating reviews after markets close are Spain (by Fitch A/Stable and S&P A+/Stable) and Italy (Fitch BBB+/Stable).

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ASIA WEEK AHEAD CHINA INDIA

Asia week ahead: Japan and Taiwan rate decisions, key data on China and India

The Bank of Japan is expected to hike rates by 25bp, while Taiwan's interest rate decision remains a close call. Markets will also focus on China's activity data and India's inflation figures



Asia Research highlights of the week

[Asia FX Talking: North Asian currencies continue to perform well](#)

[China's strong trade growth continues, driven by tech demand](#)

[Taiwan's inflation miss adds uncertainty to our September rate hike call](#)

[China's inflation rebounds on higher tech and energy prices](#)

[Taiwan's trade surplus hits record high as tech boom continues](#)

Japan: BoJ expected to hike rates by 25bp to 1.25%

We expect the Bank of Japan to raise its policy rate by 25bp to 1.25% on Friday amid persistent price pressures. Our base case assumes two additional 25bp hikes in January and April 2027, taking the policy rate to 1.75%. The logic is straightforward: policymakers may prefer to front-load tightening while inflation remains elevated, and before the policy backdrop becomes more complicated after April. Japan will release its August inflation data earlier that day. Market consensus expects headline inflation to edge up to 2.0% year-on-year, while core inflation remains unchanged at 1.8%.

Japan releases its August trade data and July core machine orders on Wednesday. The market expects export and import growth to moderate to 18.2% YoY and 26.3% YoY, respectively, with the trade deficit widening to \$1.05tn as imports outpace exports. Core machine orders, a leading indicator of capital expenditure, are expected to fall 4.8% month-on-month following June's strong increase, although annual growth should remain positive at 9.2%.

Taiwan: CBC rate decision remains a close call

Taiwan's central bank meets Friday for its quarterly policy review. Our base case remains a 12.5bp rate hike — a modest move consistent with the Central Bank of the Republic of China's preference for gradual tightening. At this juncture, the outcome remains uncertain. A relatively benign August inflation read ([Taiwan's inflation miss adds uncertainty to our September rate hike call](#)) raised odds in favour of a hold at the meeting. It looks closer to a coin flip at this point. The Federal Reserve decision before the CBC meeting could affect things. Nonetheless, with strong double-digit GDP growth and price pressures still elevated in core inflation and PPI, we think the CBC will need to hike, either in September or December.

China: Domestic weakness persists as IP outperforms

China publishes its key monthly activity data on Tuesday. We expect the widening divergence between external and domestic demand to continue in August. Fixed asset investment's slump is likely to continue into August. We expect FAI growth to plummet to -7.4% YoY ytd.

Policymakers have aimed to accelerate the pace of fiscal expenditure. But it's unlikely to show up in the August investment data. On the consumption side, we expect retail sales to remain relatively lacklustre at around 0.7% YoY, as expansions of consumer loan interest subsidy programmes provide only marginal support. Industrial production is expected to continue to outperform, recovering to 4.9% YoY thanks to external demand. We expect the 70-city property price data to show a stabilisation of prices in tier 1 cities beginning to spread to other areas.

India: Inflation set to rise amid food and fuel pressures

We expect India's CPI inflation to rise to 4.7% YoY, driven primarily by food-price pressures

linked to weak monsoons — most visible in sugar and rice — alongside the spillover from higher fuel costs into core inflation.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	
Monday 14 September				
China		- Aug M2 Money Supply (YoY%)	-	7,7
Japan	1230	Jul Industrial Production (MoM%/YoY%)		0.1/4.1
India	1430	Aug WPI Inflation (YoY%)	-	9,8
	1830	Aug CPI Inflation (YoY%)	4,7	4,5
Tuesday 15 September				
South Korea	0500	Aug Export Prince Index (YoY%)	-	49,1
	0500	Aug Imports Prince Index (YoY%)	-	18,7
India	1930	Aug Imports (USD bn)	-	76,2
	1930	Aug Exports (USD bn)	-	44,2
China	1000	Aug Fixed Asset Investment (YoY% ytd)	-7.4	-6,7
	1000	Aug Industrial Output (YoY%)	4.9	4,5
	1000	Aug Retail Sales (YoY%)	0.7	0,6
Wednesday 16 September				
Japan	0750	Aug Exports (YoY%)	CF: 18.2	23,2
	0750	Aug Imports (YoY%)	CF: 26.3	27,8
	0750	Aug Trade Balance (JPY bn)	CF: -1053.3	-634,5
	0750	Jul Core Machine Orders (MoM%/YoY%)	CF: -4.8/9.2	9.7/16.9
New Zealand	0645	Q2 Current Account (NZD bn)	-	-1
Thursday 17 September				
Australia	0830	Aug Reserve Assets Total (AUD bn)	-	117,4
New Zealand	0645	Q2 GDP Growth (QoQ%)	-	0,8
	0645	Q2 GDP Growth (YoY%)	-	1,5
Singapore	1030	Q2 Unemployment Rate Final	-	2
Taiwan	1600	Rate Decision	2.13	2
Friday 18 September				
South Korea	0500	Aug PPI		7.7
Japan	0730	Aug CPI	CF: 2.0	1.9
	0730	Aug Core CPI	CF: 1.8	1.8
	0730	Aug CPI Index	-	102
	1100	Rate Decision	1.25	1
New Zealand	0645	Aug Imports (NZD bn)	-	9,3
	0645	Aug Exports (NZD bn)	-	7,4
	0645	Aug Trade Balance (NZD mn)	-	-1949
India	1930	FX Reserves (USD bn)	-	741
Malaysia	1200	Aug CPI (MoM%/YoY%)	-	0/1.8
	1200	Aug Trade Balance (MYR bn)	-	22,5
	1200	Aug Exports (YoY%)	-	38
	1200	Aug Imports (YoY%)	-	36,4

Note: CF = Market consensus forecast data

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Article | 11 September 2026

COMMODITIES DAILY

The Commodities Feed: Oil surges as market reprices Middle East escalation

Oil prices surged again yesterday as tensions intensified in the Red Sea, while a sharp drop in Saudi output added another layer of supply anxiety



Energy - Saudi oil production falls in August

Oil prices surged, with ICE Brent settling more than 6% higher. In early morning trading today, prices neared \$110/bbl. Oil's resilience reflects a market now repricing both the duration and severity of the conflict, along with a clearer recognition of the mounting threat to regional supply. And while meaningful volumes are still moving through the Strait of Hormuz, flows remain well below pre-war levels, underscoring how fragile the situation has become. Saudi energy infrastructure and crude oil exports from the Red Sea are increasingly at risk, with the Houthis in Yemen targeting Saudi Arabia. As the Houthis have taken control of the Red Sea port of Mokha in Yemen, recent events increase the threat to shipping around the Bab al-Mandeb Strait.

Another market concern will be the August production numbers Saudi Arabia reported to OPEC. The latest monthly report shows Saudi Arabia produced 6.24m b/d, the lowest level since the 90's. Saudi Arabia did supply more to the market than it produced. The producer supplied 7.12m b/d to the market, suggesting that it relied on inventory over the month. Meanwhile, secondary sources show Iraq increased supply by 664k b/d MoM to 3.38m b/d in

August.

These renewed supply concerns coincide with stronger Chinese buying in the physical market. Independent refineries in China have been steadily increasing run rates after bottoming in July. Data from JLC shows independent refiners running at almost 63%, up from 45% in July. State refiners increased runs over this period. Signs of increased buying appetite from China will concern markets. China has helped the market since the start of the war by reducing imports.

The latest EIA inventory data show US commercial crude oil inventories fell by just 391k barrels last week. After accounting for SPR releases, total US crude oil inventories declined by 1.64m barrels. In a sign of relief to refined product markets, gasoline and distillate stocks increased by 1.27m barrels and 2.09m barrels, respectively. US refineries continue to operate near capacity amid strong margins on offer, with many choosing to defer maintenance season.

Metals – Copper slumps on tariff uncertainty

Copper has fallen sharply from a fresh record after Reuters reported that the US has not yet made a decision on refined copper tariffs. It fell more than 3% on Thursday after hitting a record \$14,875/t on the London Metal Exchange earlier in the session.

The sell-off followed a [Reuters report](#) that officials are weighing support for domestic production against the risk of higher costs for US manufacturers.

Until now, the market had largely assumed that tariffs would go ahead. The latest news has challenged that view and removed some of the tariff premium from copper prices. The move shows how a growing tariff premium has pushed prices [ahead of current fundamentals](#).

Either way, the arbitrage will eventually close. If tariffs are ruled out, the US premium should narrow, and some metal could return to international markets. If they go ahead, imports could rise again before the duties take effect but should slow afterwards.

Copper's longer-term outlook remains positive. But the latest reversal shows that prices remain vulnerable to any further weakening in tariff expectations.

Agriculture – Sugar prices rise amid supply concerns

Sugar prices extended gains for a fourth consecutive session, settling 1.8% higher on the day. Indian import demand and disruptions to cane crushing in Brazil will be supportive, while El Niño has clearly raised risks to Asian production. Market attention remains on India's duty-free import quota introduced in August to rebuild domestic supplies amid record-high sugar prices. This is an unusual step for the world's second-largest sugar producer. In Brazil, heavy rainfall across the Center-South region, including key growing areas in São Paulo, is delaying crushing operations and raising supply concerns.

The USDA is scheduled to release its monthly WASDE report later today. The market expects the agency to increase its wheat ending stock estimates for 2026/27 by just 1m bushels to 718m bushels. It trimmed its US corn and soybean ending stock estimates by 142m bushels and 29m bushels to 1,511m bushels and 291m bushels, respectively. The agency could revise up its Argentina corn and soybean output estimates to 63.5mt (+0.5mt) and 49.6mt (+0.1mt). Brazilian corn and soybean output estimates could also rise to 140.4mt (+0.4mt) and 180.7mt (+0.2mt), respectively. Global ending stock estimates for corn are expected to decrease from 274.7mt to 272.1mt. Ending stock estimates for soybean and wheat are expected to fall by 1mt and 0.3mt to 123.2mt and 273mt, respectively.

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COMMODITIES, FOOD & AGRI

Tariff uncertainty tests copper's record rally

Copper has fallen sharply from a fresh record after Reuters reported that a US decision on refined copper tariffs has not yet been made. The move shows how a growing tariff premium has pushed prices ahead of current fundamentals



Copper's reversal highlights the gap between prices and fundamentals

Copper fell more than 3% on Thursday after hitting a record \$14,875/t on the London Metal Exchange earlier in the session.

The sell-off followed a [Reuters report](#) that the White House has yet to decide whether to impose tariffs on refined copper. Officials are weighing support for domestic production against the risk of higher costs for US manufacturers.

Until now, the market had largely assumed that tariffs would go ahead. The latest news has challenged that view and taken some of the tariff premium out of copper prices.

Tariff premium drives prices higher

Refined copper was excluded from the 50% tariffs imposed last year on certain semi-finished and derivative copper products.

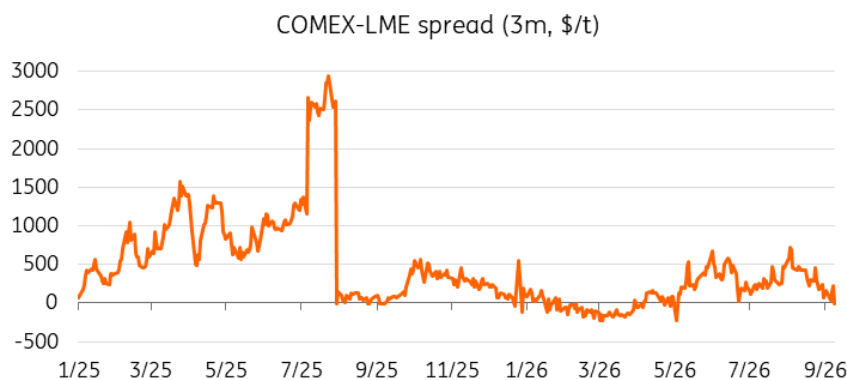
The Commerce Department was due to update the president by the end of June on whether

refined copper should face a 15% tariff from January 2027, rising to 30% in 2028. No decision has been announced.

The prospect of tariffs pushed COMEX prices above the LME, opening a profitable import window. Traders moved more copper to the US to take advantage of the price gap.

But the tariff premium has not been limited to the US. The movement of metal into American warehouses reduced availability elsewhere, helping to lift LME prices.

US tariff premium drives copper higher



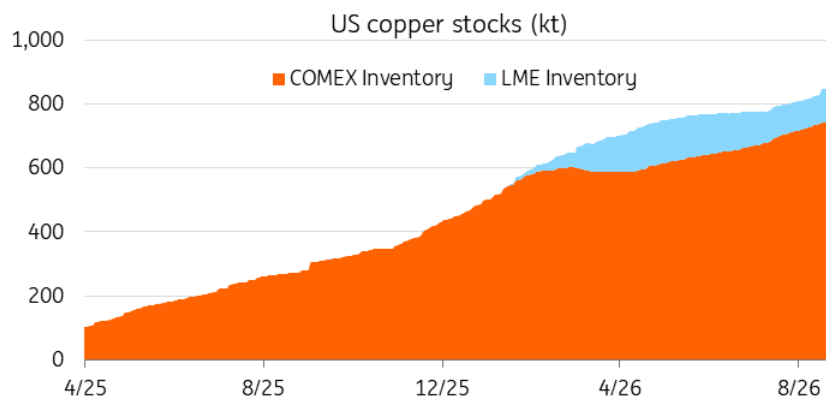
Source: COMEX, LME, ING Research

Copper piles up in the US

July inflows topped 220,000 tonnes, setting a monthly record. By early September, COMEX warehouses held around 680,000 metric tonnes – roughly eight times the volume recorded at the beginning of 2025. Market estimates put total US holdings above one million tonnes once copper outside the exchange system is included.

This has left the US well supplied while inventories available elsewhere have fallen. If the tariff premium between New York and London narrows, shipping more metal to the US will become less attractive. Some stocks could eventually return to international markets.

Copper inventories shift to the US



Source: COMEX, LME, ING Research

Prices run ahead of fundamentals

Copper's longer-term fundamentals remain supportive. ICSG data show that mined output was 1.1% lower year-on-year in the first half. Without a stronger recovery during the remainder of 2026, this would be the first annual contraction in mine supply since 2017.

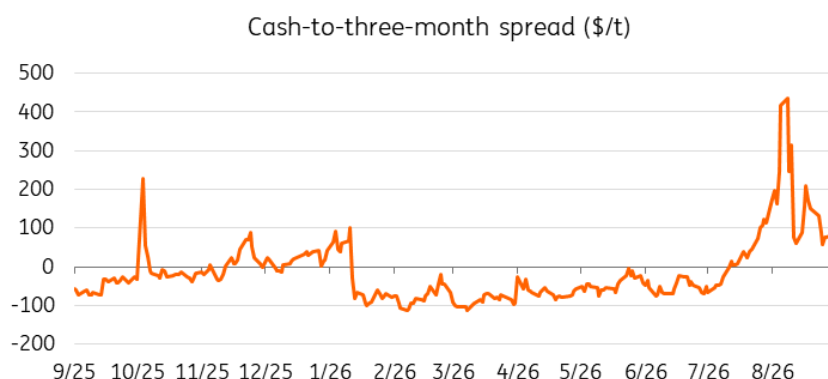
Falling ore grades and long project development times will continue to constrain supply, while demand from power grids, electric vehicles and data centres remains strong.

However, the refined market is not yet facing an outright shortage. Refined production rose 2.4% in the first half, leaving a preliminary surplus of around 131,000 tonnes, according to ICSG.

Some indicators of immediate tightness have also eased. LME inventories have stabilised this month, while pressure at the front of the LME curve has eased. Although cash copper still trades above the three-month contract, the backwardation has narrowed considerably from its August peak. Nearby supply remains tight, but conditions are less stretched than they were last month.

These signals suggest that the move towards \$15,000/t had run ahead of current fundamentals.

LME copper backwardation eases from August peak



Source: LME, ING Research

Tariff decision remains key

Either way, the arbitrage will eventually close. If tariffs are ruled out, the US premium should narrow and some metal could return to international markets. If they go ahead, imports could rise again before the duties take effect, but should slow afterwards.

Copper's longer-term outlook remains positive. But the latest reversal shows that prices remain vulnerable to any further weakening in tariff expectations.

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Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

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Article | 10 September 2026

FX

FX Daily: The hawkish bar is set high for the ECB

As the ECB delivers its well-telegraphed 25bp hike, we doubt it will signal enough commitment to further tightening to validate the market's aggressively hawkish pricing. That leaves EUR/USD exposed to downside risks, particularly as the dollar may find additional support after yesterday's smaller-than-expected Treasury buyback announcement



Treasury Secretary Scott Bessent announced that the US would buy back \$6bn worth of government debt – but market expectations were clearly of a higher figure

↑ **USD: Some Bessent risk premium leaving the dollar?**

Poor price action for the dollar persisted for most of yesterday. Then came the US Treasury announcement that it would buy back \$6bn in long-term bonds, triple the amount announced in August. The bond market's negative reaction signals that expectations were clearly of a higher figure – somewhere around \$10bn had been rumoured. However, that prompted a dollar rebound, as some risk premium linked to outsized Treasury intervention was unwound.

The currency market is unlikely to shelve the debasement narrative just yet. But yesterday's announcement could help create a better environment for the dollar, potentially allowing it to respond more efficiently to external drivers such as higher oil prices and weaker equities, both

USD positives.

Today, focus will be on US PPI inflation for August, which should have a higher-than-usual market impact ahead of tomorrow's CPI and next week's FOMC. Consensus is for 0.4% MoM headline PPI, and 0.3% for core. We feel these are figures that can – if anything – slightly reinforce market conviction on a September hike: pricing is currently 16bp.

We continue to see upside risks for the dollar. If front-end USD rates remain around current levels and global sentiment stays fragile, we cannot see a fundamental reason for persistent USD underperformance. Unless inflation delivers material downside surprises today or tomorrow, the conditions appear in place for DXY to return to 99.0.

Francesco Pesole

↓ **EUR: ECB can disappoint the hawks**

EUR/USD climbed to 1.650 yesterday before reversing after the US Treasury announcement. The initial rally was driven by a sizeable 7-8bp tightening in EUR/USD two-year swap differentials, entirely the result of an almost 10bp rise in the euro leg. That likely reflected spillover from another rise in energy prices and perhaps some positioning for a hawkish ECB message today.

On the latter, we aren't convinced. As discussed in our [ECB cheat sheet](#), there are some downside risks for the euro today. Markets now price 50bp of tightening by year-end and 85bp by July, leaving the ECB with a high bar to meet. While today's widely expected 25bp hike can still be framed as an insurance move, further hikes would push policy further into restrictive territory. We doubt the ECB is ready to semi-commit to another hike by year-end, as it did in July, for two main reasons: a) the inflation projections are unlikely to justify it; b) concerns may be building around the eurozone bond market.

To be clear, we don't think the ECB will be intentionally dovish. But retaining broad optionality on further tightening seems too little to satisfy markets' hawkish bets. We expect some repricing lower in the EUR curve to pave the way for a retest of 1.160 ahead of next week's FOMC (where we expect a hike). Our one-month target remains 1.150.

Francesco Pesole

↓ **CEE: Central banks leave room for weaker zloty and koruna**

As expected, the National Bank of Poland kept rates unchanged at 3.75% yesterday. The statement offered little new guidance, leaving attention on Governor Adam Glapinski's press conference today at 3pm local time. We expect a somewhat more hawkish tone than in July, reflecting higher inflation and a firmer outlook. However, with markets pricing in around 85bp of tightening, the bar for a hawkish surprise is high. We therefore see scope for some easing in

rate expectations and a rise in EUR/PLN, also supported by record gas prices, potentially taking the pair back above 4.320.

In the Czech Republic, the CNB blackout period begins today. Deputy Governor Eva Zamrazilova, one of the board's most hawkish members, said yesterday that she favours keeping rates unchanged at next week's September meeting, strongly signalling the likely outcome for the broader board. The CNB could still communicate today, but surprises appear unlikely. Despite the ongoing rates sell-off, the interest-rate differential has narrowed and, in line with our Monday call, EUR/CZK has moved back above 24.250. The pair is currently consistent with the rates move in our models, although a more dovish CNB decision than markets expect next week could push it higher.

Frantisek Taborsky

TRY: Rates on hold but cuts ahead

We expect the CBT to keep rates unchanged at 37% today. It is too early to resume easing after the bank restarted weekly repo auctions and brought the effective funding rate down from 40% to the policy rate. Still, weaker-than-expected 2Q GDP and a continued gradual decline in inflation should allow two 100bp cuts to 35% in Q4.

As liquidity conditions have normalised, market pricing has turned more dovish and moved closer to our year-end forecast. The CBT rate is now priced at 34.50% by year-end. However, markets remain sceptical about the scope for easing next year, pricing only around 100bp of cuts. Continued disinflation could drive further dovish repricing in this part of the curve.

The FX outlook is broadly unchanged. Long TRY positioning has already returned to pre-US-Iran conflict levels, despite the CBT's dovish August stance and the prospect of renewed easing. At the same time, the continued recovery in central bank FX reserves should support investor demand for the TRY carry trade. We forecast USD/TRY at 52 by year-end and 63 by the end of next year.

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Article | 10 September 2026

RATES SPARK

Rates Spark: Oil back above \$100

We think the ECB will hike rates, but the path thereafter remains open. Oil breaching \$100 and record gas prices year-to-date add to the complexity. With markets already pricing in a very hawkish outlook, we still think a dovish surprise from the ECB is more likely. Nervousness about fiscal trajectories in the eurozone also supports a dovish ECB bias



The ECB is widely expected to raise its policy rate today by 25bp to 2.50%

The \$100 threshold has been passed and markets are quick to price in more hawkish central banks

The European Central Bank is widely expected to raise its policy rates today by 25bp, which would take the deposit facility rate to 2.5%. This is a level which is widely regarded as marking the upper end of what is considered the neutral policy rate range.

Markets are not only fully discounting today's move already, they are also eyeing further tightening beyond September of more than 50bp, taking the deposit facility rate to at least 3%. This comes, of course, on the back of oil prices topping US\$100/bl and also gas prices marching higher amid geopolitical tensions flaring up again. Markets are still following a similar playbook whereby every move in oil is immediately captured by a predictable move in the 2Y rate. But with gas prices now higher than before, we could imagine markets starting to pay more attention to developments in gas too.

It also highlights the challenge for the ECB. Not only will the ECB's new forecasts already be based on outdated market snapshots, but it also makes any guidance around a future path difficult. The default in such an uncertain environment is to stick to meeting-by-meeting guidance.

Given that the market is already priced very aggressively, we struggle to see how the ECB could push markets even further in that direction. While risks of second-round inflation effects are rising with the duration of the conflict, by the ECB's own account, those effects have not been observed yet. And if anything, markets' aggressive stance and rising market rates also in the longer tenors are helping to tighten financial conditions.

Geopolitical tensions are pushing eurozone government bond spreads wider, while growing market concerns about debt sustainability could also stop the ECB from sounding too hawkish. As France has moved into focus, given the added layer of political uncertainty, we now see that 10y OAT swap spreads have become more closely correlated and sensitive to oil prices than Italian bonds. The latter had long proven to be the most exposed to geopolitical risk, not least given a larger reliance on energy imports from the crisis region in the beginning.

US Treasury buyback announcements garner a strange reaction

There's been a strange reaction to the tripling in the buyback amounts announced by the US Treasury. Long-end yields rose. Yet it was more than a doubling; it was a tripling. Of course, we won't know what they actually do until they do it, but they intend to do \$6bn, up from \$2bn per event. Based on that alone, the gap higher in long-end yields does not make much sense, unless the market had been expecting a quadrupling or more and/or a much bigger statement. We are not sure that was necessarily the case.

What is even stranger is the minimal reaction in swap spreads. They widened by a smidgen. But if the market was genuinely disappointed with the buyback size, they should have widened by much more, i.e. Treasury yields should have risen by more than SOFR rates. In that sense, it's a really unusual reaction, where long end SOFR rates are up, swap spreads unchanged, and long-end Treasury yields are up too. SOFR rates, it seems, have been pulled up by Treasury yields, but for no good reason.

My main contention is that the best Bessent can do is richen long tenor Treasury yields versus long tenor SOFR rates, in other words, to tighten long-end swap spreads. Since the original buyback announcement, this has been successful, in the sense that the 30yr swap spread is tighter by some 8bp since the buyback announcement. Bessent can't control long-end SOFR, as the 10yr SOFR rate, for example, is nothing more than a rate that breaks even against the expected profile for floating SOFR into the future. That's tough to affect through just buybacks! And certainly not in the relatively small size being deployed so far.

It's early days, and we'll see where this goes. But in a sense, markets may be telegraphing to

Bessent that it will be tough for him to have meaningful control over long-end rates.

Thursday's events and market view

The ECB interest rate decision and press conference will be the key event of the day. In data, the focus is shifting towards the US already ahead of Friday's likely policy-defining CPI release. With an eye on inflationary pressures, Thursday will see the publication of the August PPI, where a 0.4% month-on-month increase is expected. We will also get the US weekly jobless claims numbers.

Primary markets will see Italy auctioning 3y, 7y and 45y bonds for up to €7.75bn. The UK auctions new 4y gilts (£5bn). Over in the US, the Treasury will sell US\$22bn in 30y bonds and buy back US\$6bn in 10-20y bonds.

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Article | 10 September 2026

TURKEY

Monitoring Turkey: Further easing likely in fourth quarter

The CBT has lowered the effective funding rate from 40% to 37%, citing easing inflation risks, weaker domestic demand, and improving monetary transmission. Growth is slowing, inflation should fall below 30% this year, reserves have markedly recovered, and the CBT has resumed asset purchases while markets increasingly anticipate future rate cuts



- Turkey's Medium-Term Plan for 2027-2029, which projects above-consensus growth led mainly by domestic demand, also envisages higher inflation, increased primary spending, and a wider current account deficit than the previous plan for the next year.
- At the inflation report release meeting, Central Bank of Turkey Governor Fatih Karahan's key message was that normalising liquidity easing, which would reduce the effective funding rate from 40% to 37%, is on the agenda. According to the Governor, the worst appears to be behind us in the US-Iran conflict, and no extremely adverse developments are expected under current conditions. As for the factors shaping the inflation outlook, the economic slowdown has become much clearer, particularly in domestic demand indicators. The CBT also views low core goods inflation and easing inertia in services inflation as evidence that the demand channel and monetary transmission mechanism are working. Therefore, while the deterioration in inflation expectations has remained limited recently, upside risks to the outlook are fading. In turn, in the second half of

August, the CBT started weekly repo auctions, reducing the effective cost of funding and TLREF directly to the level of the policy rate.

- Elevated borrowing costs and the recent tightening of macroprudential measures appear to be translating into a more pronounced slowdown in 2Q26 GDP growth. Despite a clear loss of momentum and the lowest contribution since 2024, domestic demand, particularly private consumption, remained the main driver of economic activity in the previous quarter. At the same time, the contribution from net exports has shifted back into positive territory. We expect the economy to maintain a moderate growth performance in the second half of the year, increasing the risks surrounding our full-year GDP growth forecast of 3.0%. A potential resolution of the Gulf conflict could ease current downside pressures on the economic outlook and provide some support to growth prospects, while any further escalation would add to downside risks.
- Slightly lower-than-expected August CPI data helped maintain a downtrend in the annual figure, though the pace of disinflation is quite slow. Uncertainty surrounding oil prices – along with their spillover effects on other commodity prices – continues to pose risks to the inflation outlook. The resumption of the Iran-US peace process, on the other hand, would abate geopolitical tensions and help oil prices return to prewar levels, which in turn would be supportive for the inflation outlook. We expect annual inflation at 29.2% at the end of 2026. The weaker-than-expected 2Q data is also likely to reinforce expectations of policy rate cuts by the CBT. While the bank is likely to remain on hold at the September MPC given the limited time that has elapsed since its liquidity move, we see the policy rate at 35% by the end of 2026 with two 100bp cuts in the last quarter.
- Foreign investor positioning has recovered from the US-Iran conflict shock, with FX swaps exceeding pre-war levels and reaching highs. However, bond inflows have remained modest on a year-to-date basis. Meanwhile, TL deposit inflows continued, while the sector's dollarisation ratio fell from 39.9% in May to 38.5% by late August. Gross reserves reached US\$188.2bn.
- In its 2026 strategy, CBT planned to increase its Open Market Operations portfolio to TRY450bn this year. The bank had already purchased TRY220bn until 3 April, bringing the portfolio up to target. However, the size has declined recently due to maturities, and the CBT decided to replenish that amount. Additionally, given developments over the course of the year, the balance sheet size has been running somewhat above the level the bank had initially projected and determined as the target size for the portfolio. Accordingly, the CBT started purchase auctions on 20 August and has purchased TRY29.5bn (nominal) as of 4 September.

Quarterly forecasts

	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
Real GDP (%YoY)	2.3	3.2	3.6	3.4	3.8	4.1	4.6	4.7
CPI (eop, %YoY)	32.1	29.8	29.2	26.4	23.7	22.4	22.0	21.2
Central bank key rate (eop, %)	37.00	37.00	35.00	32.00	30.00	28.00	26.00	25.00
3m interest rate (eop, %)	42.98	40.55	35.16	32.04	29.75	27.68	25.31	24.53
10yr yield (eop, %)	33.21	32.75	30.67	29.01	26.49	25.45	24.32	23.00
USD/TRY exchange rate (eop)	46.64	49.03	52.00	55.07	57.92	60.56	63.00	65.75
EUR/TRY exchange rate (eop)	53.30	56.38	60.32	63.88	68.34	72.06	75.60	80.22

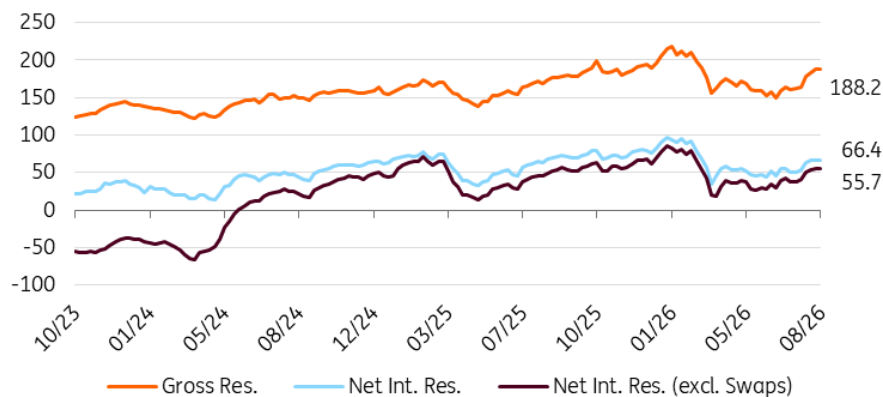
Source: Various sources, ING

FX and rates outlook

Following the normalisation of liquidity conditions, the decline in the effective funding rate from 40% to 37%, and the easing of upside inflation risks, market pricing has gradually turned more dovish and moved closer to our forecast for this year. The CBT rate is now priced at 34.50% for year-end. However, the market remains sceptical that the central bank can sustain easing next year, pricing in only around 100bp of cuts. We see scope for further repricing if disinflation continues in this part of the curve. Meanwhile, foreign inflows into TurkGBs remain limited, and the Ministry of Finance has completed about two-thirds of this year's issuance. A meaningful improvement in duration would probably require a significant de-escalation in the US-Iran conflict.

In FX, the outlook is broadly unchanged. As sentiment improves, the lira is typically the first market segment to attract returning investors. Long TRY positioning has already recovered to levels seen before the US-Iran conflict, despite the CBT's unexpectedly dovish stance in August and the prospect of an imminent restart of the easing cycle. Meanwhile, the continued recovery in central bank FX reserves should help sustain investor interest in the TRY carry trade. We forecast USD/TRY at 52 by year-end and 63 by the end of next year.

CBT reserves (US\$ bn)



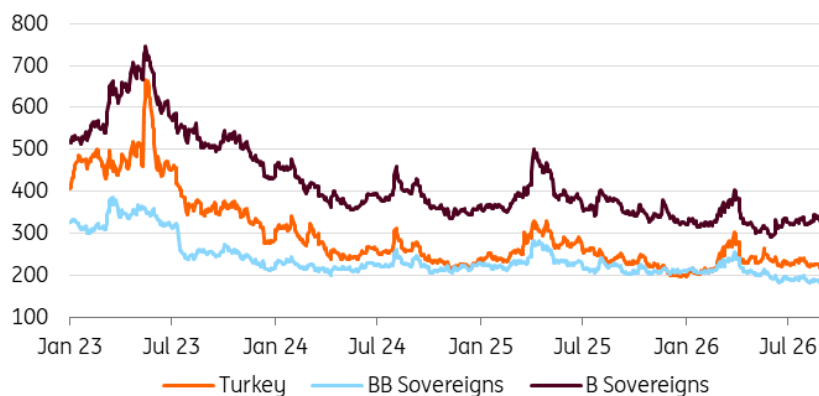
Source: CBT, ING

Sovereign credit views

Despite some decent global macro volatility, relative valuations for Turkey's dollar bonds have remained fairly steady – the pickup over the BB sovereign average has held at around 40bp, with five-year CDS spreads at near 220bp. While the latest Medium-Term Plan has seen a worsening in the outlook for inflation and the current account deficit, there were few surprises relative to market expectations and the normalisation in monetary policy points to some comfort over spillover effects from the Middle East.

In this context, the focus for investors will be on avoiding a more aggressive dovish shift in monetary policy expectations, while any easing in Middle East tensions and energy prices could offer a more positive catalyst. Valuations should remain relatively attractive for EM investors given the pickup over BB peers, along with stabilisation in the FX reserve picture and positive fiscal performance.

US\$ Bond Sub-Index Spreads vs USTs



Source: Refinitiv, ING

The Turkish government projects less ambitious disinflation in 2027

At the weekend, Vice President Cevdet Yılmaz, Finance Minister Mehmet Şimşek, and Central Bank Governor Fatih Karahan unveiled the Medium-Term Plan (MTP) for 2027-2029, setting out the government's macroeconomic forecasts and key policy and reform priorities. Vice President Yılmaz emphasised that the programme seeks to reinforce macroeconomic stability, expand high value-added production, improve productivity, and enhance competitiveness through price stability, fiscal discipline, and financial stability.

While reaffirming its commitment to disinflation, the government projects year-end inflation of 28.4% in 2026. This forecast is above the 16% projection in the previous plan, close to the central bank's 28% forecast, and slightly lower than the 29.4% expectation in the latest Market Participants Survey. During the presentation of the August Inflation Report release last month,

Governor Karahan had stated that the Bank maintained its 2027 forecast in light of geopolitical risks and ongoing MTP preparations that could affect the macroeconomic framework. Accordingly, the MTP substantially revised its 2027 inflation forecast upward to 21%, compared with 9% in the previous plan. The new projection is broadly in line with the 21.9% consensus in the Market Participants Survey.

In the meeting at the weekend, Karahan noted that the upward revision to the 2027 forecast was driven partly by the carry-over impact of higher-than-expected inflation this year on the following year's starting point, and partly by the global economic backdrop. According to CBT calculations, the impact of the US-Iran war and related global developments on 2026 inflation is estimated at around 7ppt. After eliminating war-related factors, inflation would be below 25%. With this estimate, the Governor implies that next year's figure is easily reachable.

The programme also lowered the 2026 GDP growth forecast by 0.5ppt to 3.3%. Growth is then expected to accelerate to 4.2% in 2027 (close to the previous plan forecast at 4.3%), reaching 5.0% by 2029. Official projections for 2026 and 2027 remain somewhat higher than the corresponding expectations in the Market Participants Survey. Additionally, relative to the previous plan, the MTP envisages a growth composition driven more by private consumption and less by private investment, while the public sector is expected to follow the opposite pattern.

On the fiscal side, the MTP projects a central government budget deficit of 3.1% of GDP in 2026 (down from 3.5% previously), rising to 3.5% in 2027 before gradually declining to 2.8% by 2029. Despite reconstruction and recovery spending in the earthquake-affected region having been largely completed this year, spending is expected to increase significantly, rising to 24.5% of GDP from 23%, mainly due to higher current transfers, reserve allocations, and interest payments. This increase is expected to be partially offset by stronger revenue collection, equivalent to around 1% of GDP. Policymakers also stressed that fiscal policy would support disinflation, implying reduced reliance on inflationary tools such as administered price increases.

On the external front, the government forecasts a current account deficit of 2.6% of GDP in 2026, followed by a gradual improvement in subsequent years. While the new projections are higher than those in the previous plan, the elevated and gradually increasing growth path outlined in the MTP raises questions about how achievable this external adjustment is.

Regarding exchange rate assumptions, the MTP's implicit USD/TRY projections are broadly consistent with market expectations for this year. For the following years, the programme assumes average annual increases largely in line with inflation forecasts, implying little or no change in the currency's real value.

The MTP for 2027-2029 vs the MTP for 2026-2028

	MEDIUM TERM PLAN (MTP)				PREVIOUS PROGRAM		
MACRO ASSUMPTIONS	2026E	2027F	2028F	2029F	2026F	2027F	2028F
GDP (TRY bn)	85,346	111,207	133,184	153,141	77,257	89,406	101,397
GDP (USD bn)	1,821	1,984	2,091	2,225	1,658	1,763	1,886
GDP growth (%)	3.3	4.2	4.6	5.0	3.8	4.3	5.0
Unemployment Rate (%)	8.1	8.0	7.8	7.6	8.4	8.2	7.8
Employment Rate (%)	48.6	49.2	49.8	50.6	49.8	50.5	51.6
Labor Force Participation Rate (%)	52.9	53.4	54.0	54.7	54.4	55.1	56.0
Inflation (%)	28.4	21.0	13.5	9.0	16.0	9.0	8.0
C/A Balance (USD bn)	-47.5	-38.5	-37.0	-35.5	-22.3	-20.5	-18.5
C/A Balance (% GDP)	-2.6	-1.9	-1.8	-1.6	-1.3	-1.2	-1.0
Foreign Trade Balance (USD bn)	-105.0	-105.0	-108.5	-110.0	-96.0	-99.0	-102.0
Exports (USD bn)	282.0	292.0	302.5	316.0	282.0	294.0	308.5
Exports / Imports (%)	72.9	73.6	73.6	74.2	74.6	74.8	75.2
USD/TRY (implied, avg)	46.9	56.1	63.7	68.8	21.5	24.6	25.8
FISCAL TARGETS % GDP							
Central Administration Balance	-3.1	-3.5	-3.1	-2.8	-3.5	-3.1	-2.8
Revenues	20.0	21.0	21.0	21.0	21.0	21.0	21.0
Expenditures	23.0	24.5	24.1	23.8	24.5	24.0	23.8
Central Administration Primary Balance	0.2	0.1	0.4	0.6	0.0	0.3	0.5
Public Sector General Balance	-2.7	-3.3	-3.1	-2.7	-3.1	-2.7	-2.6
Public Sector General Balance (IMF def.)	-0.2	-0.6	-0.3	0.2	-0.2	0.2	0.3
EU Defined Public Debt Stock	21.8	21.7	22.8	23.9	24.7	24.7	24.2

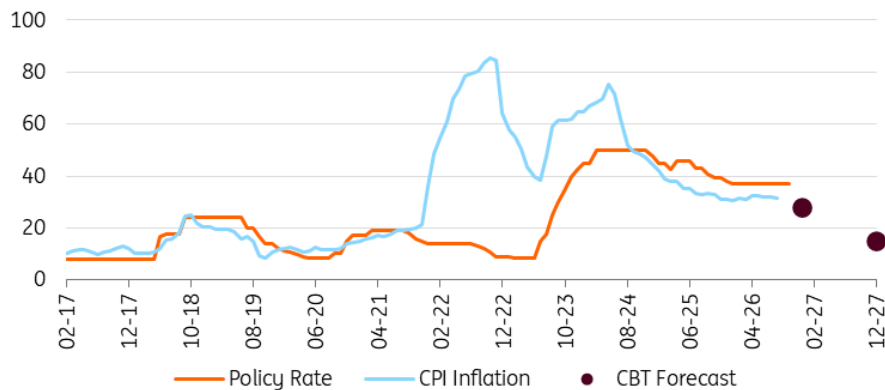
Source: Presidency of Strategy and Budget, ING

CPI inflation falls further in August

Monthly inflation in August came in at 1.84% vs the market consensus of 1.95%, while annual inflation maintained a downtrend with a slight decline to 31.5% (vs the CBT's target of 24% and forecast of 28% in the latest inflation report) from 31.8% a month ago. Despite energy and education pushing inflation higher, the positive surprise was attributable to the food group last month. Core inflation (CPI-C) rose by 1.8% month-on-month, slightly above the level recorded last year, leading to an increase in the annual rate to 30.1%. The managed currency by the central bank, with modest nominal TRY depreciation – by 1.6% in August on average and 16.9% year-on-year, significantly below inflation in the same period – limited the increase. This indicates that the CBT maintains its exchange rate policy, which continues to support the disinflation objective through the cost channel.

A breakdown of the data shows that the transportation group made the largest contribution to the headline (0.82ppt), driven by diesel prices in addition to the contribution from transportation services. This has occurred despite the newly introduced scheme that reduces special consumption tax (SCT) on diesel to TRY 0 per litre in the second half of August. The housing group followed, attributable to rent and energy-related items, with a monthly impact on the headline of 0.27ppt. The food group reading turned out relatively benign, with a mere 0.06ppt impact, thanks to a 2.0% MoM drop in unprocessed food prices vs a 2.0% increase last year and a slower increase in processed food. Accordingly, annual inflation fell to 33.8% (vs the CBT's assumption for this item at 28.5% for this year) from 37.5% a month ago.

Inflation expectations and CBT forecast (12m- ahead, YoY%)



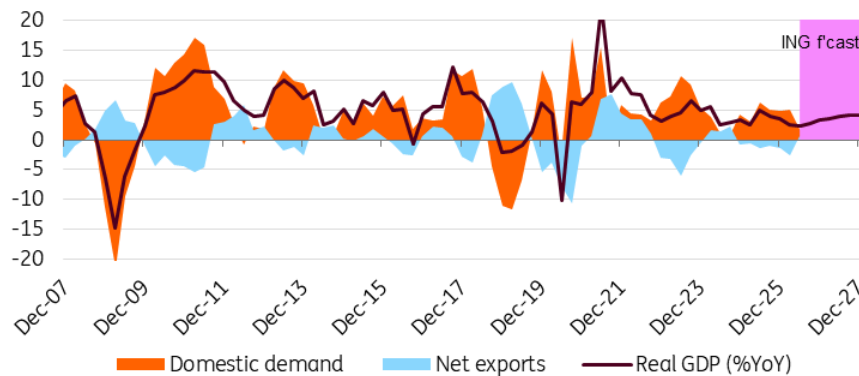
Source: CBT, Bloomberg, ING

2Q GDP growth restrained by softer domestic demand

In the second quarter of 2026, Turkey's GDP growth came in at 2.3% YoY, bringing growth in the first half of the year to 2.5% YoY. The latest figures point to a further moderation in economic activity compared with previous quarters. Despite a clear loss of momentum, domestic demand was the main driver of economic activity, while net exports turning positive also added to the headline rate.

On a seasonally adjusted basis, GDP expanded by 1.1% quarter-on-quarter in the second quarter, rebounding from the weak 0.3% growth recorded in the previous quarter. This recovery was driven mainly by net exports, which contributed 1.5ppt to the headline figure. Capital formation remained broadly unchanged after contracting in the first quarter of 2026, while inventory accumulation also made a positive contribution of 0.8ppt – although at a slower pace than in the previous quarter. By contrast, household consumption weakened further, reducing headline growth by 0.9ppt, while government consumption also turned negative and weighed on sequential growth performance during the quarter.

Real GDP (%YoY) and contributions (ppt)



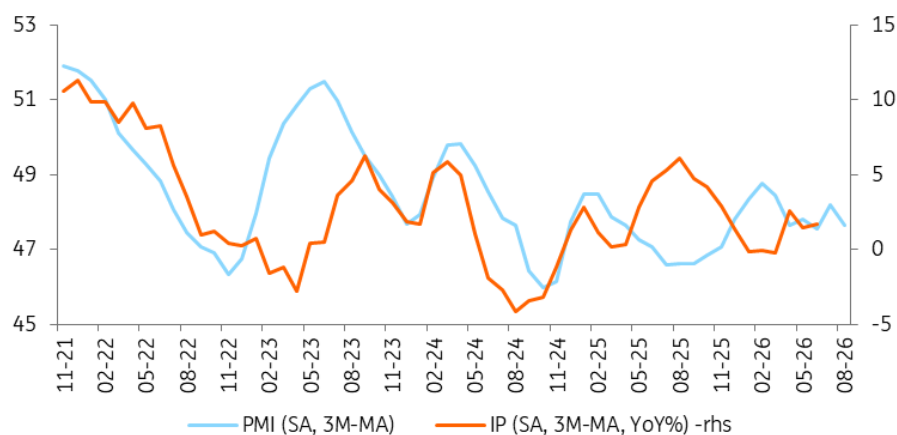
Source: TurkStat, ING

August PMI moved up further in contractionary territory

The manufacturing sector (seasonally adjusted basis) PMI moved slightly up in August to 48.1, the highest in the last three months. However, it has remained in contractionary territory. This has been the case for more than two years, confirming long-lasting challenges for manufacturers. In the breakdown, the rate of inflation in input prices moved up further with higher costs for fuel and oil, plus rising raw material prices, while selling prices were impacted by higher energy costs. Additionally, demand has remained soft with ongoing geopolitical risks, leading to weakness in total new orders and new export business.

Findings in sectoral PMIs, on the other hand, confirmed some fears surrounding the impact of war in the Middle East on economic activity; all 10 sectors are now positioned below the 50 level. Compared to a month ago, seven of these sectors recorded PMI declines on the back of higher inflationary pressures alongside weaker production and employment.

PMI & Industrial Production



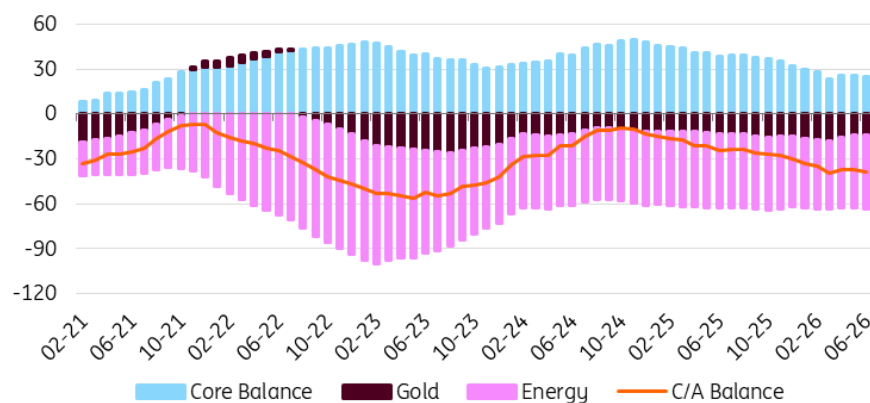
Source: ICI, TurkStat, ING

Large revisions to net errors & omissions

Following the pandemic, significant volatility has been observed in the Net Errors and Omissions (NEO) item of the balance of payments. Such fluctuations may be considered relatively normal over the short term. However, in 2021 and 2022, the NEO balance recorded exceptionally large positive inflows, while since 2023 it has posted a substantial cumulative negative balance of around US\$58bn. Three separate revisions were introduced to address this issue, with the adjustments relating largely to items recorded under the financial account. These included: a) a more accurate measurement of bank deposits held abroad by residents; b) improvements in the classification and recording of financial derivatives; and c) the decomposition of domestically driven foreign banknote movements from external transactions. As a result of these revisions, the cumulative negative balance in the NEO account declined significantly, falling to US\$23bn.

In the current account, standing at US\$4.2bn, the deficit was narrower than the consensus in June. Compared with the same period last year, the June data shows a wider goods deficit, a larger services surplus and a higher secondary income deficit. Accordingly, the 12-month rolling deficit reached US\$38.9bn, or approximately 2.5% of GDP, from US\$37.0bn a month ago. On the other hand, the capital account saw a relative improvement from the previous month, with net inflows of US\$5.2bn. With almost-flat net errors and omissions, and considering the current account deficit, official reserves recorded a US\$1.0bn increase in June.

Current account (12M rolling, US\$bn)



Source: CBT, ING

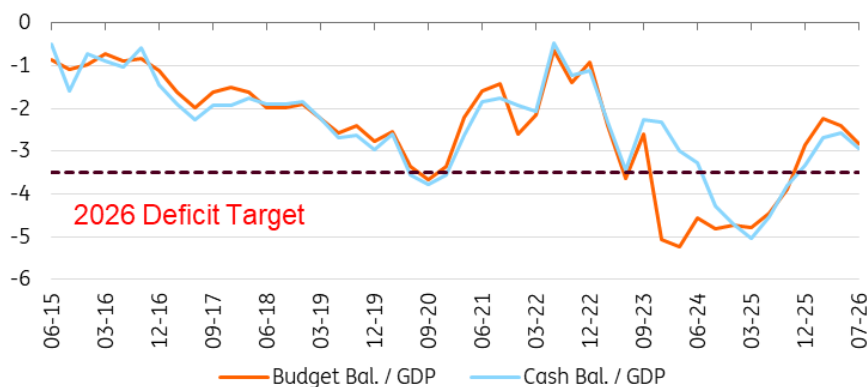
12M rolling budget deficit remains below the target

On the fiscal side, the Central Administration budget balance showed a relative deterioration in July, following the strength in June. This is attributable to a rapid expansion in spending, with a) interest expenditures more than doubling, translating into 84.3% real growth, likely due to uneven distribution of this item in the year, and b) a 12.7% real rise in primary spending contributed by all major sub-items except for capital expenditures. Accordingly, the 12-month

rolling accrual-based government budget deficit widened to 2.7% of GDP in July, from 2.4% in June. The primary surplus narrowed to 0.6% of GDP in July, from 0.9% in June. Interest expenditures increased to TRY326.8bn in July 2026 by a high TRY192.2bn over the same period. The 12-month rolling budget deficit remains below the government's target of 3.5% of GDP.

The Ministry of Finance revisited the scheme reduced that reducing the special consumption tax (SCT) on diesel to TRY 0 per litre in the second half of August. After August, it will be increased by TRY 3 per litre each month through the end of 2026, ultimately reaching TRY 13.90 per litre as of January 2027. The new system should alleviate some of the near-term pressure on diesel pump prices, while the fiscal drag from energy subsidies is expected to persist.

Budget performance



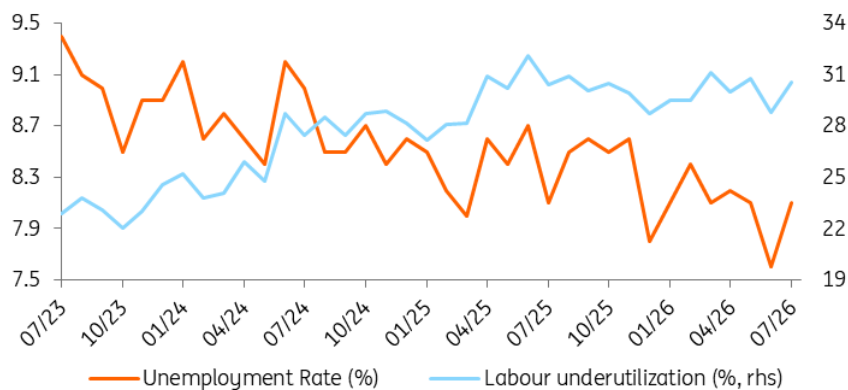
Source: Ministry of Treasury and Finance, ING

Unemployment rate rebounds from the lowest since 2005

According to the seasonally adjusted data, the number of unemployed people fell by 150K in July from the previous month, reaching 2.86m. The unemployment rate inched up by 0.5ppt on a monthly basis to 8.1%, rebounding from the lowest level in the data series published since 2005, at 7.6%. Meanwhile, the labour force participation rate stood at 52.5%, recording a drop vs June. The data showed that the rise in the headline unemployment rate was attributable to the drop in employment outpacing the fall in the labour force.

Broader measures of unemployment also pointed to a deterioration compared with the previous month. Among these, the inactive labour force rate – which comprises time-related underemployment, the potential labour force, and unemployed persons – jumped by 1.8ppt to 30.6% in June. Although this indicator typically exhibits a volatile pattern, it has been on an upward trend in recent years.

Labour market outlook



Source: TurkStat, ING

The CBT's 2026 inflation forecast at 28%

In comparison to the previous report, the bank has kept inflation targets flat at 24%, 15%, and 9% for this year and the next two years. On the other hand, the CBT hiked its forecast for 2026 to 28% from 26% earlier, now closer to that of market participants, standing at 29.4% in the latest survey. For next year and 2028, the forecasts are unchanged, and remain aligned with the targets.

The forecast hike for this year reflects a combination of changing assumptions related to several key drivers: a) a slight downward revision for external demand; b) a cut in oil prices (from US\$89.4 to US\$87.8); c) higher import prices on the back of diesel refinery margins, natural gas and commodity prices excluding energy; and d) an upward adjustment in food inflation to 28.5% from 26.3% due to recent data and the outlook for agricultural commodity prices.

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Article | 7 September 2026

MANUFACTURING, CONSTRUCTION AND RETAIL GERMANY

German construction is turning the corner, but slowly

German construction is set for a cautious recovery, with growth returning in 2026 and further strengthening in 2027. Housing and infrastructure will drive the rebound – but high costs, labour shortages, weak non-residential demand and delays will keep it gradual



The German construction sector seems to be past its worst point, but a full recovery is going to be gradual

Back to growth

For 2026 and 2027, we expect the German construction sector to start growing again. A welcome turning point, as the past years were troublesome. As the German construction sector is the largest in Europe, it contracted by more than 10% between 2020 and 2025. For 2026, a 1% growth rate is anticipated, followed by 2% in 2027, driven by a gradual recovery in the new residential market and increased infrastructure investment.

German construction underperforms

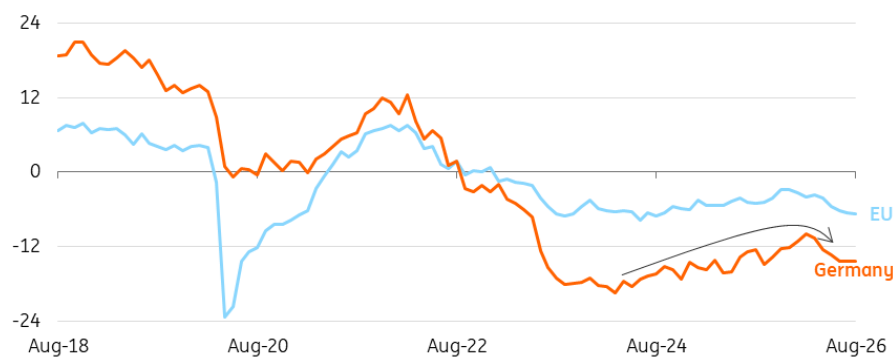
In recent years, the German construction sector has underperformed the European average. While European construction output recorded an average annual growth of 1.75% over the past five years, Germany's sector declined. Higher building material costs, increased interest

rates and geopolitical uncertainty have made investors more cautious about starting new projects. Also, weaker economic growth in Germany has further weighed on demand for new real estate and infrastructure investment.

As a result, Germany's construction confidence indicator has been more negative than the European average since 2022. Sentiment improved slightly for a while but began to decline again in March this year, following the outbreak of the Iran war.

German contractors still pessimistic

Confidence indicator construction sector



Source: Eurostat, ING Research

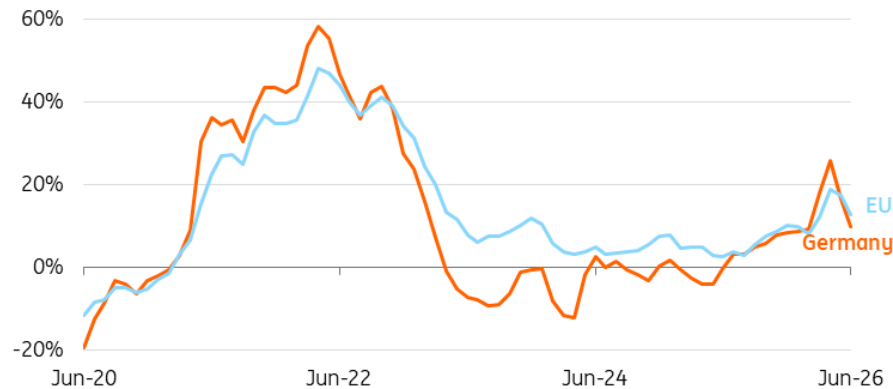
Hormuz crisis adds new uncertainty to construction costs

German contractors are feeling the effects of the conflict in the Middle East, although the direct impact of higher gas and oil prices is limited. [Germany's building materials industry](#) still relies relatively heavily on coal, making production costs less directly dependent on gas and oil. As a result, producers have faced less pressure to pass on higher energy costs.

At the same time, weak construction activity and stronger competition have limited contractors' ability to raise prices. Therefore, price expectations have increased somewhat since the start of the conflict but have moved back to pre-war levels.

Planned price hikes fall back to previous levels

Balance of EU construction companies that expect to increase +/- decrease output prices (over next 3 months)



Source: European Commission, ING Research

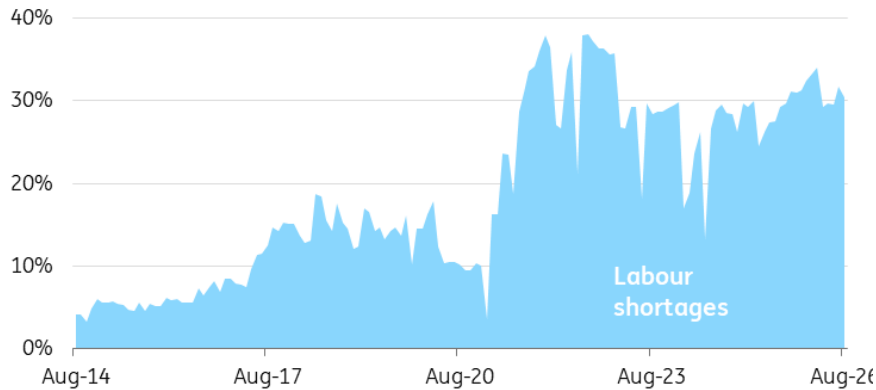
Labour shortages are structural

Labour shortages remain a serious and increasingly structural challenge in German construction. In August, 30% of German contractors reported labour shortages. This is particularly concerning because construction output has been declining for several years, which would normally reduce demand for workers. The problem is largely driven by an ageing workforce and is unlikely to disappear, especially when activity starts to improve again.

To address this long-standing constraint, companies will need to invest more in efficiency gains through [industrialisation](#) and [digitalisation](#). Construction companies can also ease labour shortages by investing in internships and relationships with technical schools. Attracting young talent at an early stage and creating clear career paths can help companies build a more sustainable workforce.

Labour shortages are becoming structurally high

% German construction firms that have to limit the production because of labour shortages:



Source: European Commission, ING Research

Low water levels

Low water levels are creating another [supply chain risk](#) for German construction. Many raw materials used in building materials, such as sand, gravel and chemicals, are transported by inland waterways. When river levels are low, barges can carry less cargo, which increases transport costs and delays deliveries to contractors. However, the impact has remained limited until now. In August, 4.3% of construction companies reported production constraints due to material shortages. This is above the usual August level of around 1-2%, but below the 5.1% recorded during the low-water period in August 2018.

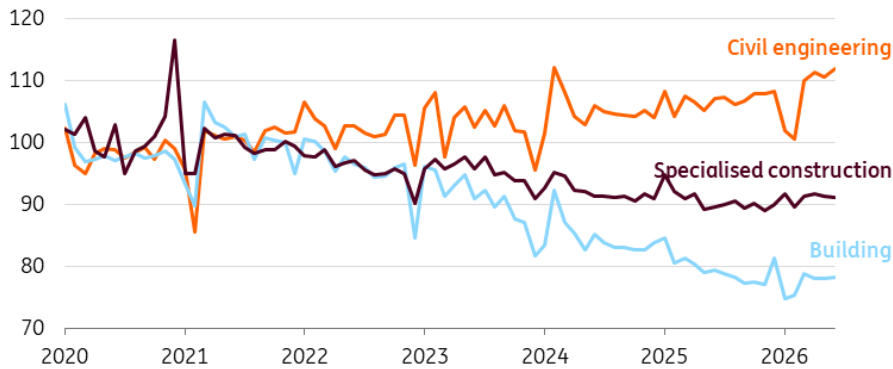
Wide differences across subsectors

Among German construction subsectors, building construction (residential and non-residential) has suffered the steepest decline, with output falling by more than 20% in recent years. Higher interest rates, rising construction costs and cautious consumers and investors amid economic uncertainty have weighed on activity. Specialised construction, such as carpentry, painting and installation work, recorded a more moderate decline.

While this segment has been affected by weaker new construction, it has benefited from stronger demand for insulation and energy efficiency improvements as energy costs have risen. Infrastructure (=civil engineering) performed better, supported mainly by investment in railways and energy projects. There are now early signs that the government's planned infrastructure investment is beginning to reach the construction sector. We discuss each subsector in more detail below.

Decline in German building sector

Development Construction sector volume, latest data point June 2026 (Index January 2020=100, SA)



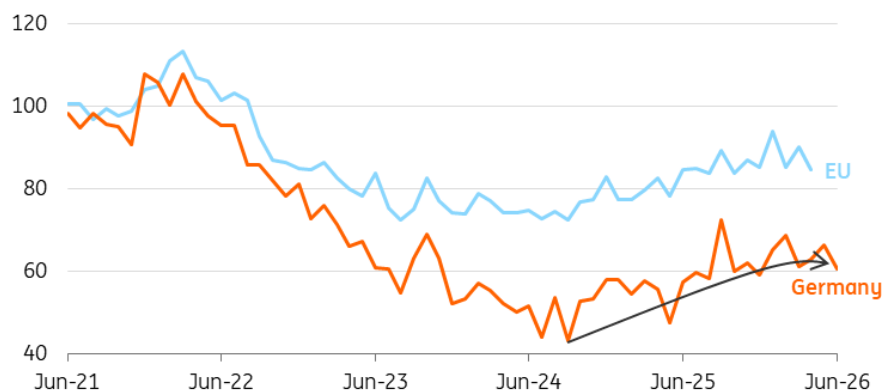
Source: Eurostat, ING Research

Recovery in new residential building

There have been signs of improvement in the new residential market. The number of permits issued for new houses is an important indicator. Typically, it takes between one and two years from the granting of a permit to the completion of a new home. The number of permits has been increasing since the end of 2025. By June 2026, the level was 17% higher than two years earlier but still far below the levels of 2021 and 2022, and momentum appears to have stalled a bit in recent months.

Permits edge higher but momentum weakens

Building permits new dwellings, SA (index 2021=100)



Source: Eurostat, ING Research

To speed up the building process, the German government has announced the 'housing

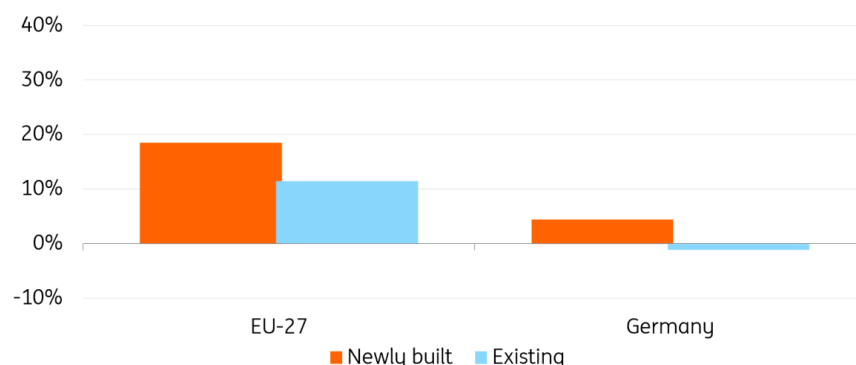
construction turbo (Bau-Turbo)' to expedite planning and authorisation of new projects in popular living areas. The federal government has introduced this measure, which could accelerate construction and move many projects forward more quickly. However, its impact will largely depend on the willingness of local authorities, who may hold back because of concerns about losing control and legal uncertainty. Lending rates have also edged up since the start of the year, while slower wage growth has put further pressure on affordability.

Business case for new houses remains complicated

Housing shortages remain severe in many German urban areas, but the business case for new housing projects is still difficult. Although permits are rising, construction costs have also increased. Builders and project developers often cannot pass these higher input costs on to buyers because prices for [existing homes](#) are still lower than they were three years ago. Buyers can choose between a new build and an existing house. If new homes become relatively more expensive because of higher building material costs, many are likely to choose an existing property instead.

German house prices lag behind Europe

House price developments 2026 Q1 compared to 2023 Q1



Source: Eurostat, ING Research

Office and industrial market under pressure

Non-residential building accounts for around 25% of total German construction output. It is a diverse subsector, covering healthcare and education buildings as well as industrial and office properties. The latter two are the largest segments, each representing about 6% of construction output in 2025.

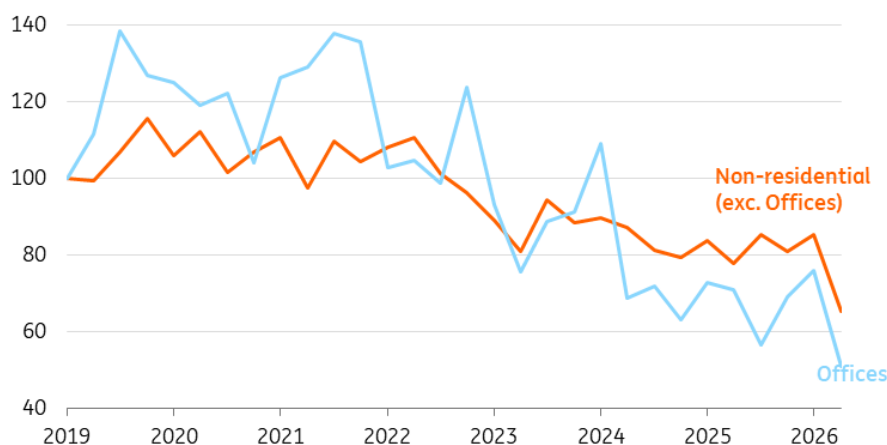
The non-residential market has faced headwinds in recent years. The office and industrial market, in particular, has been negatively affected by economic uncertainty and the hybrid work trend in offices. This has resulted in a sharp decline in the issuance of building permits for

new offices. During the second quarter of 2026, the amount of permitted floor space for new offices declined by more than 40% compared with 2022. In addition, new orders from the manufacturing sector have fallen short due to low capacity utilisation, fierce international competition and high energy prices in Europe. However, German industry has recently benefited modestly from the conflict in the Middle East.

Companies are also holding back on investment as recent crises, trade disputes, weak domestic conditions, bureaucracy and taxes are resulting in declines in the issuing of building permits for other non-residential buildings. The planned construction of several gas-fired power stations to stabilise the grid, alongside new defence-related capacity, should provide some support to demand. Yet, the outlook is very dependent on the Middle East conflict and energy price developments.

Decline of issued permits in non-residential sector continues

Buildings permits in m2 in Germany ,Index 2019 Q1 = 100 SA (Last datapoint Q2 2026)



Source: Eurostat, ING Research

Renovation market

Renovation accounts for more than 70% of Germany's total construction output, generating roughly €330bn in annual revenue.

The renovation market's share has risen steadily as new construction has weakened, but this is only part of the story. Germany's large stock of ageing buildings and infrastructure also supports structurally higher renovation volumes.

As structures age, they require repairs, upgrades and modernisation to ensure safety, functionality and efficiency. In addition, developed countries typically have stricter building codes, safety regulations and environmental standards. Compliance with

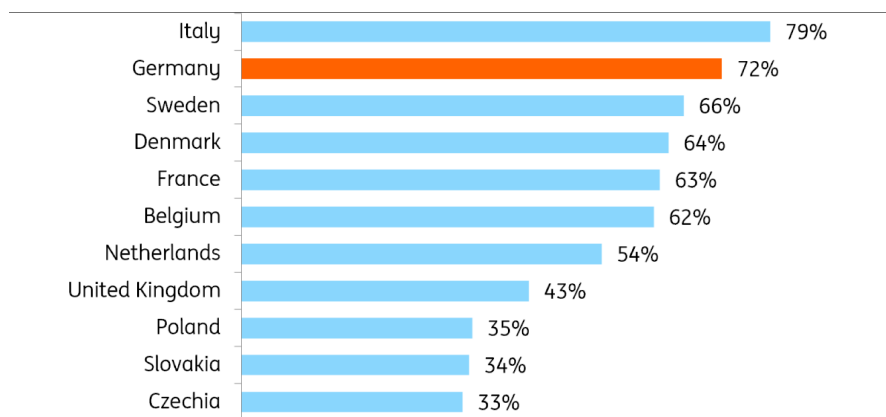
these regulations often requires periodic upgrades and renovations.

This narrative also applies to Germany. In Eastern Europe, where new construction still plays a larger catch-up role, renovation accounts for a smaller share of the market. In addition, Germany's declining new construction volumes also lift renovation's share.

Looking ahead, we expect the renovation market to grow gradually, supported by overdue maintenance and the need to improve the sustainability of ageing buildings and infrastructure.

German share of renovation sector is large

Renovation share of total building production, 2025



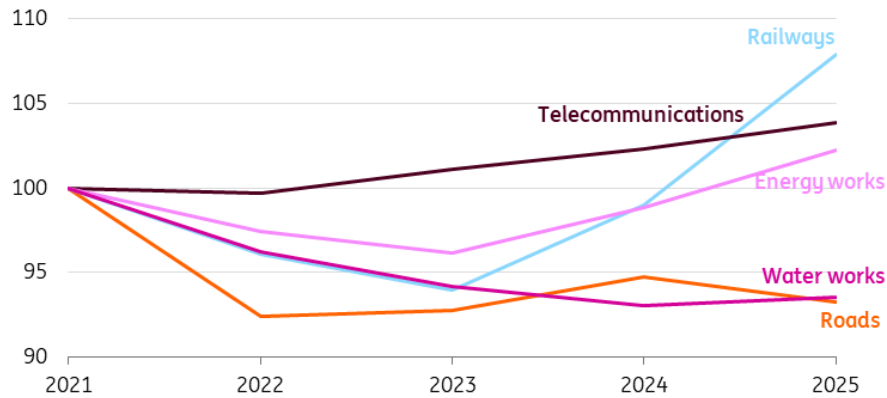
Source: Euroconstruct, ING Research

Infrastructure growth survives

In Germany, infrastructure investment continued to grow in 2025, increasing by around 1.5%. The positive trend carried into the first half of 2026, although momentum remained modest, with output rising by about 1.2% compared with the same period a year earlier. This was a good performance, as construction volumes were held back by a cold and wet winter, which temporarily disrupted activity on infrastructure sites.

Highest growth railways infrastructure investments

Volumes infrastructure subsectors Germany, Index 2021=100



Source: Euroconstruct, ING Research

Road works (more or less 20% of all infrastructure output) remain under pressure because many local authorities face budget deficits (see also below Germany's €500bn fund). Public funding is being directed towards a range of investment and spending priorities, leaving only limited support for road construction.

Telecommunications construction has recorded modest growth in recent years, supported by Germany's fibre optic rollout and investments in mobile network infrastructure. Germany still has significant catch-up potential compared with many other European countries, suggesting further investment needs in the years ahead.

The **energy sector** has been growing since 2024, driven by investments in renewable energy and the expansion of electricity grids. Growth is expected to remain strong through 2027 as Germany continues upgrading its power infrastructure to support the energy transition and rising electricity demand.

Railway construction is the only major infrastructure segment showing strong growth. The recent increase in activity is largely renovation-led rather than driven by new rail lines, with substantial federal funding and Deutsche Bahn's nationwide network renewal programme boosting spending on upgrades. A major project is the modernisation of the 278km Hamburg-Berlin rail corridor, which started in 2025. Together with the earlier refurbishment of the Riedbahn corridor, it illustrates Germany's large-scale programme to renew ageing rail infrastructure. Growth is expected to moderate from 2027 onwards as funding momentum weakens and much of the current renovation backlog has already been addressed.

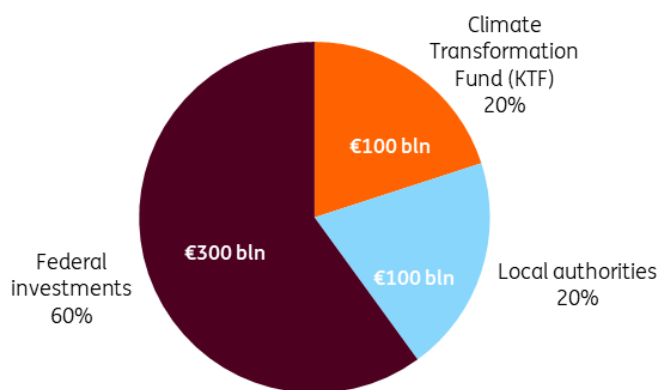
Germany's €500bn fund

Germany's €500bn Special Purpose Vehicle (SPV) for Infrastructure and Climate Neutrality has

now moved from political announcement to implementation, but the impact on construction activity will be gradual rather than immediate. The SPV was launched in 2025 and is designed to run until 2034, with money available for transport infrastructure, digitalisation, education, hospitals, housing construction and climate-neutral investment. The federal government, Länder and municipalities are all expected to benefit, while a sizeable share is reserved for the Climate and Transformation Fund.

"Additional" package German investments in infrastructure & climate neutrality

Special Fund 'Infrastructure and climate neutrality 2025-2034

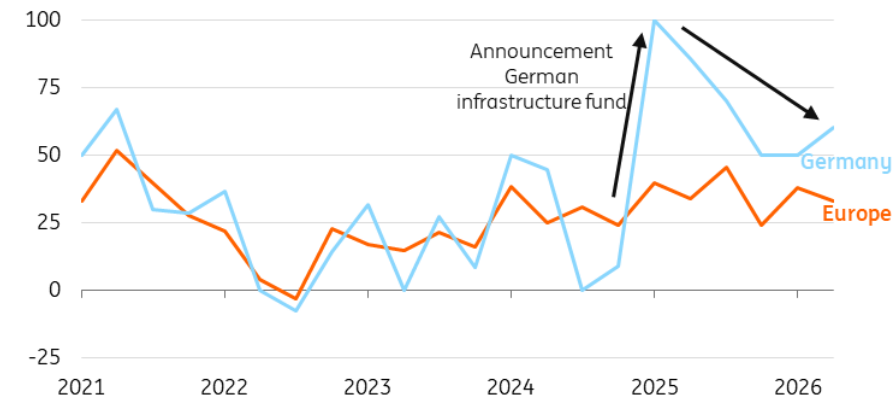


Source: Federal financial plan 2025-2029, Euroconstruct & ING Research

However, the boost will not arrive evenly, nor will it materialise overnight. The roll-out has been slower than originally planned. Administrative requirements, planning procedures and capacity constraints at federal-state and municipal levels have delayed the disbursement of some funds. The €500bn may overstate the real additional impulse for construction. Part of the special fund risks will be used to ease pressure on the regular federal budget rather than to finance new additional investment. The fund should improve order books from late 2026 onwards, but the largest effect is more likely to be seen in 2027 and beyond, once projects have moved from planning into tendering and execution.

Long-term expectations among German contractors improved only temporarily

12 months expectations infrastructure and public works



Source: RICS, ING Research

RICS survey data shows that German infrastructure professionals became much more optimistic when the €500bn infrastructure fund was first announced around a year ago. At that point, the fund was widely seen as a major additional boost for future construction activity, raising expectations for stronger order books and higher output. However, that optimism has since faded. As more details emerged, it became clear that part of the fund would also be used to fill holes, not in the roads but in existing public budgets, rather than finance fully additional infrastructure projects. As a result, expectations have become more cautious again, although they remain at a somewhat higher level. The fund still supports the medium-term outlook, but the initial euphoria has given way to a more realistic view of a slower and less powerful impulse.

German construction has passed its lowest point

All in all, the German construction sector seems to be past its worst point, but the recovery will be gradual. Residential building is starting to benefit from rising permits, renovation remains supported by Germany's ageing building stock, and infrastructure should gain momentum from the special fund over time. At the same time, weak non-residential demand, structural labour shortages, higher construction costs and implementation delays will continue to limit the pace of growth. After several difficult years, 2026 and 2027 therefore look set to mark a turning point – but not yet a strong construction boom.

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